

Chapter 4 The Arbitral Tribunal (Article 7-12)

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The rules on the Arbitral Tribunal starting with Article 7 include three types of provisions: (i) a group of “mandatory General Provisions” (Article 7) reflecting, as the title suggests, principles of general application; (ii) three Articles (Articles 8-10), from which the parties are free to derogate, concerning the constitution of the Arbitral Tribunal; and (iii) a set of provisions (Articles 11-12) on the challenge and replacement of arbitrators.

The provisions contained in Article 7 embody a certain number of basic principles that are fundamental to the ICC arbitration process: (i) the parties are allowed considerable autonomy in connection with the establishment of the Arbitral Tribunal; (ii) they are free to agree on the number of arbitrators and to designate the arbitrators of their choice without regard to any roster or panel of approved arbitrators, provided, however, that all arbitrators must be and remain “independent”; and (iii) arbitrators are to be appointed, as necessary, by the Court, usually with the assistance of the ICC’s National Committees. Although the Rules have a great deal in common with other arbitration rules concerning the appointment, removal and replacement of arbitrators, they nevertheless also possess certain features that make them distinctive, as discussed in this Chapter. Thus, all arbitrators nominated by the parties must be “confirmed” by the Court or the Secretary General. Under most other arbitration rules there is not any equivalent institutional review process prior to the appointment of arbitrators by the parties. Moreover, the Rules provide the Court with much broader authority than most other institutions have under other rules to remove arbitrators who are not performing their functions properly in accordance with the Rules. In the event that the parties are unable to agree upon the number of arbitrators, the Court also has an important role to play in resolving that difference, as well as retaining discretion, in cases including more than two parties, to appoint the entire Arbitral Tribunal. In addition, the Rules contain a novel provision on the completion of arbitration proceedings by “truncated” Tribunals in certain circumstances. These provisions are now considered in turn.

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Article 7 General Provisions

The general provisions set forth in Article 7 concern (i) the arbitrator's obligation of “independence”, (ii) the finality of the Court's decisions, (iii) the arbitrator's duty to act in accordance with the Rules, and (iv) the parties' right to derogate from the other provisions of the Rules concerning the constitution of the Arbitral Tribunal (but not Article 7).

Article 7(1)

Every arbitrator must be and remain independent of the parties involved in the arbitration.

Background

Unlike in certain systems of domestic arbitration that distinguish between partisan, party-appointed arbitrators and neutral sole or third arbitrators, it has long been the expectation in international arbitration in general, and ICC arbitration in particular, that none of the arbitrators, including those chosen by the parties, should be predisposed towards any of the parties and that, to the contrary, all of the arbitrators should be in a position to carry out their functions impartially and without bias. ⁽¹⁾ The ICC Rules seek to achieve this by imposing

However, no one is ever obliged to act as an arbitrator, and it is therefore reasonable to expect that anyone who accepts to do so will be willing to give priority to that work so that it can be performed in accordance with the parties' reasonable expectations.⁽¹¹⁹⁾ Indeed, it is those expectations that would appear to be paramount in this regard, and, prior to accepting an appointment, arbitrators should therefore always endeavor to determine what those expectations may be and to make an assessment of the work that is likely to be required, based on the information that is then available. Similarly, the parties should themselves endeavor to determine, prior to nominating or agreeing upon an arbitrator, whether that person is, in fact, sufficiently free of potentially conflicting commitments. Article 9(1) serves as an added reminder of the need to do so.

The prospective arbitrator's ability

Despite the language of Article 9(1), the Court has not generally attempted, when considering whether to confirm arbitrators, to assess their "ability to conduct the arbitration" in accordance with the Rules. Not only can this be an inherently hazardous exercise, but the Court, as already stated, has generally wished to allow the parties the widest possible freedom in selecting arbitrators. Moreover, the Court has the power under the Rules (*see* Article 12(2) *infra*) to replace arbitrators who are not fulfilling their functions satisfactorily during the course of the arbitration.

There may nevertheless be circumstances in which the Court, at the time of an arbitrator's nomination, may legitimately doubt the nominee's ability to fulfill his or her functions without severely impeding the proper conduct of the arbitration. Among the issues that arise from time to time, and as to which Article 9(1) may be invoked, are the following:

Language

Parties generally expect that the arbitrators will have a sufficient mastery of the language of the arbitration. As has been noted:

An arbitrator must have an adequate working knowledge of the language in which the arbitration is to take place. This is an obvious requirement,

but one which is forgotten not only by parties but by appointing authorities as well. If an arbitrator is appointed who does not have a sufficient knowledge of the language of the arbitration, it becomes necessary to engage an interpreter to translate the evidence of the witnesses and the arguments of the lawyers into a language which *can* be understood by the arbitrator concerned. Translating oral evidence accurately into another language is a difficult task, particularly where a witness is being examined in detail on his evidence of fact or opinion. It also adds considerably to the expense of the arbitral proceedings; first, because of the interpreter's fees and, secondly, because of the extra time which is taken if everything of importance has to be translated from the working language of the arbitration into a language which the arbitrator himself can understand.⁽¹²⁰⁾

Notwithstanding the foregoing, the Court has been reluctant to establish any rigid practices in this respect. This is partly because the Rules themselves do not expressly set forth any linguistic requirements for the arbitrators; in addition, in some cases, the language of the arbitration may not yet be determined or may be in dispute when the Tribunal is being constituted.

In at least one case under the former Rules, however, the Court refused to confirm an arbitrator nominated by a party (in replacement of an arbitrator who had resigned) because the nominee did not understand the language stated to be the language of the arbitration in the Terms of Reference and the other party objected to the nomination. Where, however, the language of the arbitration is a disputed issue, the Court has not generally required that all prospective arbitrators understand each of the languages in question. (It has nevertheless usually endeavored to ensure that the sole arbitrator or chairman appointed understands both languages so as not to prejudice the decision to be taken by the Arbitral Tribunal in this regard.) The Court has also not normally required that, when an arbitration is to be conducted in two languages, the arbitrators must all master both languages or that all arbitrators must otherwise be familiar with the language of the law applicable to the arbitration.⁽¹²¹⁾ Moreover, even with respect to the chairman or sole arbitrator, in a particular case, it might sometimes be more important for the person appointed to possess other experience or skills rather than all of the linguistic abilities that might be relevant.

Thus, even in respect of a criterion as relatively straightforward as the language of the arbitration, determining the arbitrator's "ability" to conduct the arbitration is not necessarily easy or uncontroversial.

Legal qualifications

Consistent with other arbitration rules and most arbitration laws, the Rules do not require that an arbitrator have any legal training or experience.⁽¹²²⁾ In ICC arbitration cases, the parties nevertheless almost always nominate lawyers (or other legal professionals), and the ICC also ordinarily assumes, unless otherwise advised, that the parties expect it to do the same when appointing the sole or third arbitrator. As a former Secretary General of the Court has written:

[I]n international commercial arbitrations, where awards must generally set out the reasoning of the Arbitral Tribunal; where the validity and enforceability of awards, if challenged, are decided upon by judges; and where questions of jurisdiction, applicable law and statutory interpretation must often (and increasingly) be decided upon by the Arbitral Tribunal, legal training is a minimum requirement and legal practice is preferable.⁽¹²³⁾

In appointing arbitrators, the Court, thus, normally endeavors to ensure that the person appointed – while of a neutral nationality – has been trained in, or is otherwise familiar with, either the law likely to be applied in the arbitration, if this can be determined, or a similar legal system. The Court can also be expected to take into account in this regard the identity and skills of the other arbitrators, if any, and the ease with which the law in question can otherwise be apprehended through available publications and possible access to experts. Only very rarely have ICC arbitrators been opposed or challenged on the ground that they did not have appropriate legal qualifications, and such challenges as have been made have generally not prospered.

Thus, for example, in one case, the Respondent (a Swiss company) challenged the lawyer appointed by the Court as sole arbitrator in an arbitration to be conducted in India between that party and an Indian claimant. The arbitration clause provided that “German law shall apply” in the arbitration. Although the lawyer appointed had studied in Germany, understood German and had previously been involved in a number of litigation matters (outside Germany) in which German law was relevant, he was challenged on the basis that:

[He] has no German law degree and is not an expert on German law himself. Even though he might have spent some time in Germany during his legal education long years ago he has never obtained sufficient

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knowledge and experience as regards substantive German law, in particular the German law of trade as set out in the German Commercial Code and in other regulations which are very likely to be applicable and decisive in this case:

...

Furthermore, there is no possibility for Mr ... himself to gain the required depth of knowledge as regards the relevant substantive German law, in particular the German Commercial Code and certain regulations of the German Civil Code. This is because anyone who is to play a judging role in applying German law will (i) have to have the overview on all regulations which might be applicable to the case, which I expressly doubt Mr ... – other than a qualified German lawyer – will have, and (ii) will secondly have to understand not only the German law and regulations as they stand but – in order to obtain the admissible interpretation of such law – will have to be able to find and understand the German judgments published in accordance with specific regulations, the German commentaries published for example with reference to the German Commercial Code and all major German legal literature published in this connection. Since Mr ... as he himself admits, does not speak German, I, therefore, very much doubt, that he will be able to apply the German law correctly in all relevant respects.

From all this follows that an expert on German law would have to be instructed by the court during the proceedings anyhow in order to support the arbitrator in avoiding to come to a wrongful decision, if Mr ... remained to be the appointed sole arbitrator in this case.

This would also not be fair towards the parties under a cost point of view because they would have to cover more expenses incurred in connection with the proceedings, although they had chosen to avoid incurring too much legal costs by deciding for a sole arbitrator.

The challenged arbitrator responded as follows:

It is true that I have no German law degree and am not myself an expert in German law. I have, however, over many years, had experience of handling cases governed by German law. This experience has involved discussing in detail rival contentions as to German law advanced by German lawyers acting for the parties and testing such contentions by evidence and cross-examination.... I have participated in or chaired many hours of comparative seminars discussing and comparing German legal topics, mainly of a commercial nature.

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I would expect to be able to judge fairly on the basis of the parties' respective evidence and arguments – just as a continentally – trained lawyer would do.

Had the Respondent been concerned to provide for a German-qualified arbitrator as well as for German applicable law, it could have so stipulated in the contract. Alternatively, it could have sought to influence the appointment by stipulating for an arbitrator to be chosen by the parties. Instead, it left the appointment of a suitable arbitrator to the ICC.

The Indian claimant, for its part, opposed the challenge, and it was ultimately rejected by the Court.

So too did the Court reject a challenge made against a Singaporean lawyer who had been appointed as sole arbitrator in a case between parties from Gibraltar and Sri Lanka and in which Sri Lankan law was to be applied. There, as in the former case, the Court considered, when appointing the arbitrator, that he would be capable of applying the law governing the arbitration even if he had no formal training in that law. The Court could not, in any event, have designated a Sri Lankan national to act as sole arbitrator unless both parties agreed (*see Article 9(5) infra*).

Although the challenges made in each of the above cases were rejected, they reflect the concern that parties may feel – particularly when a sole arbitrator is being appointed – if the person who will be deciding their case has no formal education or training in the law applicable to the arbitration. Situations such as this, which are not uncommon, demonstrate how relative a notion an arbitrator's “ability” can be in an international arbitration.

Expertise in the commercial or technical field that is the subject of the arbitration

It is a common expectation of parties that arbitrators will be familiar with the field (*e.g.*, maritime, construction, intellectual property) that is the subject of the arbitration. In appointing arbitrators, the Court therefore generally endeavors to identify a person knowledgeable in the relevant area, and all prospective ICC arbitrators are required to indicate their areas of expertise on a standard form of *curriculum vitae* that they are required to complete prior to appointment. However, there are no recent instances in which the Court has refused to confirm or removed an arbitrator for lacking sufficient commercial or technical expertise, and the Rules specifically contemplate, moreover, that an arbitrator may be assisted, to the extent appropriate, by an expert (*see Article 20(4) infra*).

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Expertise in arbitration

It has been stated that:

Probably the most important qualification for an international arbitrator is experience in the law and practice of arbitration. ⁽¹²⁴⁾

This is a widespread view, particularly in regard to a sole arbitrator or chairman of an Arbitral Tribunal. It is, moreover, generally considered that any such arbitration experience should include experience of international arbitration accompanied by both managerial ability and “international mindedness”, ⁽¹²⁵⁾ for untold damage can be done to the international arbitration process when an arbitrator's attitude and approach to a case are unduly parochial or chauvinistic.

In selecting arbitrators, the Court, thus, generally seeks to identify persons with international arbitration experience. However, the Court does not regard this as either a rigid or absolute requirement. Nor will it refuse to confirm an arbitrator nominated by a party solely on the basis that that person has no prior arbitration experience. In those cases, however, where the Tribunal is composed of three arbitrators and neither of the co-arbitrators has any significant experience of international arbitration – or ICC arbitration, in particular – the ICC will generally seek to ensure (when the choice is left to it) that the third arbitrator, at least, has sufficient experience to conduct the arbitration in a satisfactory manner.

Age, Physical and Material Resources

Lastly, matters such as age, health and an arbitrator's material resources may have an important impact on an arbitrator's ability to perform effectively and efficiently. Increasingly, moreover, the communications facilities available to an international arbitrator will affect the arbitrator's ability to perform in accordance with the parties' (and the arbitral institution's) expectations. We have not yet reached the day when an arbitrator can be said to have a duty to be reachable by e-mail. However, parties will increasingly expect this. The Court, for its part, has not generally imposed any requirements in respect of such matters. Nor has it done so in regard to the arbitrator's age, although this may nevertheless be a legitimate consideration in certain cases, and some National Committees will not propose arbitrators above a certain